

likely to have no sufficient assets to meet its debts. (*Automotriz etc. v. Resnick* (1957) 47 Cal.2d 792, 796–797 [306 P.2d 1].)

Butler America, LLC v. Aviation Assurance Co. (2020) 55 Cal.App.5th 136, 146.

As to Nascimento, the Court has reviewed the uncontested factual evidence presented with the motion, and it is satisfied that plaintiffs have met its burden. It is clear on the evidence that Nascimento conducted the landlord business of MC Builders, as to the premises at issue in this case, as his personal business, with no pretense or attempt to separate himself from any corporate entity. The remainder of plaintiff's proof is equally convincing. Based on this showing that Nascimento and MC Builders were alter egos, the Court need not reach the additional grounds argued by plaintiffs. Nascimento has presented no contrary evidence and has filed no opposition.

The evidence is not equally convincing as to LT Builders. Although MC Builders was an alter ego of Nascimento, and assuming arguendo that LT Builders was also an alter ego of Nascimento, it does not follow that LT Builders and MC Builders were alter egos of each other. The evidence is equally consistent with the hypothesis that LT Builders and MC Builders were both businesses owned and run by Nascimento, but that their business operations and property holdings were separate from each other. No evidence shows convincingly that LT Builders was either essentially the same business operation as MC Builders, or a successor to it.

The Court notes, however, that as Nascimento is being added as a judgment debtor, any ownership interest he has in LT Builders (or its assets) might potentially be reachable in satisfaction of the judgment on the basis that it is an asset owned by a judgment debtor. The Court also notes that since LT Builders is a dissolved corporation, it may not make any practical difference whether or not it were added as a judgment debtor here.

11. 1:30 PM CASE NUMBER: C23-02401

CASE NAME: KIARA ROSS VS. KOTLIER ERNEST M.

CROSS COMPLAINT

FILED BY:

TENTATIVE RULING:

Before the Court is a demurrer by cross-defendants Doug Smith, Fuller Properties, LLC, and approximately 20 other entity cross-defendants to the cross-complaint by Sequoia Equities, Inc. and Alder Creek Management, Inc. The parties were ordered to meet and confer, and the hearing on the demurrer to the cross-complaint was continued to this date.

On August 12, 2026, the parties filed a joint report on their meet and confer efforts in which they asked the Court to continue the hearing to a date prior to September 16, 2026. Pursuant to the parties' joint request, the hearing on the demurrer is continued to **9:00 a.m. on September 9, 2026**. No appearance is required at the hearing on August 26, 2026.

12. 1:30 PM

CASE NUMBER: C23-02723

CASE NAME: AMADOR RAMIREZ VS. M.O. DION AND SONS, INC.

(1)MOTION FOR FINAL APPROVAL OF CLASS ACTION SETTLEMENT AND (2) Motion FOR ATTORNEYS' FEES, COSTS, AND A CLASS REPRESENTATIVE ENHANCEMENT PAYMENT-SET BY THE DEPT.

FILED BY:

TENTATIVE RULING:

Summary

Plaintiff Amador Ramirez moves for final approval of his class action and PAGA settlement with defendant M.O. Dion & Sons, Inc. He also moves for approval of his attorney's fees, litigation costs, administration costs, and representative payment.

Since preliminary approval was granted, the administrator has mailed notices to 354 class members. Seven packets were returned by the post office. Follow up resulted in new addresses, leaving three non-deliverable. No objections have been received, and no class members have opted out.

The motion is **granted**.

Background and Terms

Defendant is a petroleum distributor with several distribution facilities in California. Plaintiff worked there as a delivery driver. The original complaint was filed on October 26, 2023.

The settlement will create a gross settlement fund of \$500,000. The class representative payment to the plaintiff will be \$10,000. Attorney's fees will be \$166,667 (one-third of the settlement). Litigation costs will not exceed \$15,000. The settlement administrator's costs are estimated at \$10,000. PAGA penalties will be \$50,000, resulting in a payment of \$37,500 to the LWDA. The net amount paid directly to the class members will be about \$248,333. The fund is non-reversionary. There are an estimated 500 class members. Based on the estimated class size, the average net payment for each class member is approximately \$500. The individual payments will vary considerably, however, because of the allocation formula prorating payments according to the number of weeks worked during the relevant time.

The entire settlement amount will be deposited with the settlement administrator within 10 days after the effective date of the settlement.

The proposed settlement will certify a class of all current and former non-exempt employed at Defendants' California facilities between August 22, 2022 and November 27, 2024. The class members will not be required to file a claim. Funds will be apportioned to class members based on the number of workweeks worked during the class period.

The settlement contains release language covering all claims and causes of action, alleged or which could have reasonably been alleged based on the allegations in the operative pleading, including a number of specified claims. Under recent appellate authority, the limitation to those claims with the "same factual predicate" as those alleged in the complaint is critical. (*Amaro v. Anaheim Arena Mgmt., LLC* (2021) 69 Cal.App.5th 521, 537 ("A court cannot release claims that are outside the scope of the allegations of the complaint.") "Put another way, a release of claims that goes beyond the scope of the allegations in the operative complaint' is impermissible." (Id., quoting *Marshall v.*

Northrop Grumman Corp. (C.D. Cal.2020) 469 F.Supp.3d 942, 949.)

Formal discovery was undertaken, resulting in the production of substantial documents. The matter settled after arms-length negotiations, which included a session with an experienced mediator. Counsel also has provided an analysis of the case, and how the settlement compares to the potential value of the case, after allowing for various risks and contingencies. For example, much of plaintiff's allegations centers on possible off-the-clock work, including missed or skipped meal breaks and rest breaks. Defendant, however, pointed out that its formal policies prohibit off-the-clock work, and asserted that it would have had no knowledge of employees beginning work before punching in or continuing after punching out. Further, it argued that it was required to make meal and rest breaks available, but not required to ensure that they be taken, so long as no employer policy prevented or discouraged taking such breaks. As to unreimbursed employee expenses (such as cell phone use, mileage, and masks), plaintiff would have been called on to show that such expenses were in fact incurred, were reasonably necessary to job performance, and were unreimbursed. Furthermore, the fact-intensive character of such claims would have presented a serious obstacle to class certification.

The potential liability needs to be adjusted for various evidence and risk-based contingencies, including problems of proof. PAGA penalties are difficult to evaluate for a number of reasons: they derive from other violations, they include "stacking" of violations, the law may only allow application of the "initial violation" penalty amount, and the total amount may be reduced in the discretion of the court. (See Labor Code § 2699(e)(2) (PAGA penalties may be reduced where "based on the facts and circumstances of the particular case, to do otherwise would result in an award that is unjust arbitrary and oppressive, or confiscatory.")) Moreover, recent decisions may make it difficult for PAGA plaintiffs to recover statutory penalties, as opposed to actual missed wages. (See, e.g., *Naranjo v. Spectrum Security Services, Inc.* (2023) 88 Cal.App.5th 937; but see *Gola v. University of San Francisco* (2023) 90 Cal.App.5th 548, 566-67.)

Counsel attest that notice of the proposed settlement was transmitted to the LWDA concurrently with the filing of the motion.

Analysis

The primary determination to be made is whether the proposed settlement is "fair, reasonable, and adequate," under *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801, including "the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction ... to the proposed settlement." (See also *Amaro v. Anaheim Arena Mgmt., LLC*, 69 Cal.App.5th 521.)

Because this matter also proposes to settle PAGA claims, the Court also must consider the criteria that apply under that statute. The Court of Appeal's decision in *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, provided guidance on this issue. In *Moniz*, the court found that the "fair, reasonable, and adequate" standard applicable to class actions applies to PAGA settlements. (*Id.*, at 64.) The court also held that the trial court must assess "the fairness of the settlement's allocation of civil penalties between the affected aggrieved employees." (*Id.*, at 64-65.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th

273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, “the court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter.” (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because “where the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutatory purpose.” (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

Attorney Fees and Other Costs

Plaintiffs seek one-third of the total settlement amount as fees, relying on the “common fund” theory, or \$166,667. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: “If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment.” (*Id.*, at 505.)

Accordingly, plaintiffs have provided information concerning the lodestar fee amount. They estimate the lodestar at \$158,975, representing an implied multiplier of about 1.05. No adjustment from the one-third fee is necessary. The attorney’s fees are reasonable and are approved.

The requested representative payment of \$10,000 for the named plaintiff was deferred until this final approval motion. Criteria for evaluation of such requests are discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-07. Plaintiff has provided a declaration in support of the request. Plaintiff points out that he executed a broader release than the class as a whole, but does not identify any particular claims of value that he may have. He also risks damage to his reputation and more difficulty in obtaining employment. The representative payment is approved.

Litigation costs of \$10,983.11 (mostly mediation, filing, and consultant fees) are reasonable and are approved. They are less than was estimated at the time of preliminary approval.

The settlement administrator’s costs of \$10,000 are reasonable and are approved.

Conclusion

The moving papers sufficiently establish that the proposed settlement is fair, reasonable, and adequate to justify final approval. The allocation of PAGA penalties among the aggrieved employees (based on pay periods) is reasonable.

The motions are **granted**.

Counsel are directed to prepare an order reflecting this entire tentative ruling and the other findings in the previously submitted proposed order and a separate judgment and must attach a copy of this ruling to the proposed order.

The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented, to be determined in consultation with the Department’s clerk by phone.

Plaintiffs' counsel are ordered to submit a compliance statement, preferably a declaration of the distributions by the administrator, at least ten court days before the compliance hearing date. Five percent of the attorney's fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court.

13. 1:30 PM CASE NUMBER: C23-02878
CASE NAME: GUADALUPE HARO VS. YEZENIA HARO
COMPLETE CONSOLIDATION OF CASE NO. C23-02878 WITH CASE NO. C26-00880
FILED BY: ZCA HOMES LLC
TENTATIVE RULING:

These two actions concern ownership of the same residential property. Defendant and plaintiff in intervention ZCA Homes LLC moves to consolidate the two actions for all purposes. The motion is unopposed, and it is well taken. The motion is therefore **granted**. The consolidated case will proceed under the older docket number (C23-02878) and will remain assigned for all purposes to Department 16.

14. 1:30 PM CASE NUMBER: C23-03161
CASE NAME: ALISCHA WILSON VS. INTEX RECREATION CORP.,
PERLIMINARY APPROVAL OF CLASS ACTION SETTLEMENT ADVANCED
FILED BY:
TENTATIVE RULING:

In its order of July 22, the Court directed the attorneys to resubmit an amended stipulation by August 19. No such amended stipulation has been filed. The motion for preliminary approval is therefore **continued** to September 30, 2026, at 9:00 a.m. The amended stipulation must be filed by September 18. If no stipulation can be reached, the attorneys should file a joint statement to the Court by that date, identifying the point(s) of disagreement and advising on the status of the proposed settlement.

15. 1:30 PM CASE NUMBER: C24-01011
CASE NAME: IDAHO PACIFIC LUMBER COMPANY, INC. VS. BIARRITZ RESOURCES, LLC
FILED BY IDAHO PACIFIC LUMBER COMPANY, INC.
FILED BY:
TENTATIVE RULING:

The motion for summary judgment or, in the alternative, summary adjudication, filed by plaintiff, Idaho Pacific Lumber Company, Inc. ("IdaPac") against The Cincinnati Insurance Company ("CIC"), is **denied**, as discussed below.

I. Background

CY Pittsburg Investors, LLC ("Owner") held title to the real property located at 1001 and 999 Center Drive, Pittsburg, California 94565 (identified as assessor's parcel number 086-100-047) from November, 2022 until July, 2024. (SSUMF, Fact. No. 1, and defendants' responses.) In February 2023,